

**CONTRACT AGREEMENT
BETWEEN
HARYANA VIDYUT PRASARAN
NIGAM LIMITED
AND
M/s Instalaciones Inabensa S.A.,
Spain JV M/s Inabensa Bharat Pvt.
Ltd., New Delhi**

**CONTRACT NO. WB- 58/G-15/
XEN/WB
DATED 25.09.2013**

**FOR
EX-WORKS SUPPLY AND CIP
ENTRY BORDER POINT/CIF INDIAN
PORT OF ENTRY OF ALL PLANT
AND EQUIPMENT INCLUDING
MANDATORY SPARES AND DESIGN
SERVICES OF**

Contract Agreement, Appendices 1 to 8 and Contract Forms





हरियाणा HARYANA

CONTRACT AGREEMENT

L 396766

This First Contract' AGREEMENT is made on the 23rd day of October, 2013
BETWEEN

- (1) *Haryana Vidyut Prasaran Nigam Limited*, a company incorporated under Companies Act 1956 and having its principal place of business at Shakti Bhawan Sector-6 Panchkula, Haryana, India (hereinafter called "the Employer"),
and
- (2) *M/s Instalaciones Inabensa, S.A.* having their registered office at C/Energia Solar 1, tower A (Palmas Altas), Sevilla Spain in Joint Venture with *M/s Inabensa Bharat, New Delhi* (Partner) having their registered office at 305-306, 3rd floor, Eros Corporate Tower, Nehru Place, New Delhi (hereinafter called "the Contractor").

WHEREAS the Employer desires to engage the Contractor For EXW supply and CIP Entry Border Point/CIF Indian Port of Entry supply, if any, of all the Plant and Equipment including mandatory Spares and Design Services under the Contract termed as "First Contract" required for complete execution of 220KV Sub Stations Sec-32 Panchkula & Pinjore on turnkey basis against IFB No.WB/2008/G-15 and the Contractor has agreed to such engagement upon and subject to the terms and conditions herein after appearing.



Satshiki

INABENSA

NOW IT IS HEREBY AGREED as follows:

**Article
Contract
Documents**

1. 1.1 Contract Documents (Reference GC Clause 2)

The following documents shall constitute the Contract between the Employer and the Contractor, and each shall be read and construed as an integral part of the Contract:

- (a) This Contract Agreement and the Appendices hereto
- (b) Letter of Bid and Price Schedules submitted by the Contractor
- (c) Particular Conditions
- (d) General Conditions
- (f) Drawings
- (e) Specification
- (g) Other completed bidding forms submitted with the Bid
- (h) Any other documents forming part of the Employer's Requirements
- (i) Any other documents shall be added here

1.2 Order of Precedence (Reference GC Clause 2)

In the event of any ambiguity or conflict between the Contract Documents listed above, the order of precedence shall be the order in which the Contract Documents are listed in Article 1.1 (Contract Documents) above.

1.3 Definitions (Reference GC Clause 1)

Capitalized words and phrases used herein shall have the same meanings as are ascribed to them in the General Conditions.

**Article
Contract Price
and Terms of
Payment**

2. 2.1 Contract Price (Reference GC Clause 11)

The Employer hereby agrees to pay to the Contractor the Contract Price in consideration of the performance by the Contractor of its obligations hereunder. The Contract Price shall be the aggregate of Nil as specified in Price Schedule No. 1 (Plant and Mandatory Spare Parts Supplied from Abroad), and **INR 37,13,79,996.00** (Rupees Thirty Seven Crore, Thirteen Lac, Seventy Nine Thousand, Nine hundred and Ninety Six Only) as specified in Price Schedule No.2 (Plant and Mandatory Spare Parts Supplied from within India), Schedule No. 3 (Design Services) and taxes of **INR 72,44,805.00** (Rupees Seventy two Lac, Forty Four Thousand, Eight hundred and Five Only) as specified in Schedule-2 or such other sums as may be determined in accordance with the terms and conditions of the Contract.

2.2 Terms of Payment (Reference GC Clause 12)

The terms and procedures of payment according to which the Employer will reimburse the Contractor are given in the Appendix (Terms and Procedures of Payment) hereto.



Satish
SARATHI

The Employer may instruct its bank to issue an irrevocable confirmed documentary credit made available to the Contractor in a bank in the country of the Contractor. The credit shall be for an amount of INR 8.97/- Crore Quarterly Revolving and shall be subject to the Uniform Customs and Practice for Documentary Credits 1993 Revision, ICC Publication No. 600.

In the event that the amount payable under Schedule No. 1 and Schedule No. 2 is adjusted in accordance with GC 11.2 or with any of the other terms of the Contract, the Employer shall arrange for the documentary credit to be amended accordingly.

**Article
Effective Date**

3. 3.1 Effective Date (Reference GC Clause 1)

The Effective Date from which the Time for Completion of the Facilities shall be counted is the date when all of the following conditions have been fulfilled:

- (a) This Contract Agreement has been duly executed for and on behalf of the Employer and the Contractor;
- (b) The Contractor has submitted to the Employer the performance security and the advance payment guarantee;
- (c) The Employer has paid the Contractor the advance payment

Each party shall use its best efforts to fulfill the above conditions for which it is responsible as soon as practicable.

3.2 If the conditions listed under 3.1 are not fulfilled within two (2) months from the date of this Contract notification because of reasons not attributable to the Contractor, the Parties shall discuss and agree on an equitable adjustment to the Contract Price and the Time for Completion and/or other relevant conditions of the Contract.

Article 4

The Contract Agreement No. WB- 59/G-15/XEN/WB has also been made on the 23rd of October 2013 between the Employer and the Contractor for providing all services i.e. port handling and custom clearance of Plant and Equipment including mandatory Spares to be supplied from abroad and loading, inland transportation for delivery at site, insurance, unloading, storage, handling at site, installation, Testing and Commissioning including performance testing in respect of all the Plant and Equipment supplied under the "First Contract" and any other



services except design services included in the First Contract specified in the Contract Documents termed as "Second Contract" required for complete execution of the 220KV Sub Stations Sec-32 Panchkula & Pinjore on turnkey basis "Package-G-15".

Notwithstanding the award of contract under two separate contracts in the aforesaid manner, the Contractor shall be overall responsible to ensure the execution of both the contracts to achieve successful completion and taking over of the facilities by the Employer as per the requirements stipulated in the Contract. It is expressly understood and agreed by the Contractor that any default or breach under the 'Second Contract' shall automatically be deemed as a default or breach of this 'First Contract' also and vice-versa and any such breach or occurrence or default giving the Employer a right to terminate the 'Second Contract' either in full or in part, and/or recover damages there under that Contract, shall give the Employer an absolute right to terminate this Contract at the Contractor's risk, cost and responsibility, either in full or in part and /or recover damages under this 'First Contract' as well. However, such breach or default or occurrence in the 'Second Contract' shall not automatically relieve the Contractor of any of its responsibility/ obligations under this 'First Contract'. It is also expressly understood and agreed by the Contractor that the Plant and Equipment including mandatory Spares supplied by the Contractor under this 'First Contract' when installed and commissioned by the Contractor under the 'Second Contract' shall give satisfactory performance in accordance with the provisions of the Contract.

Article 5. Communications

- 5.1 The address of the Employer for notice purposes, pursuant to GC 4.1 is:

Chief Engineer/MM
Shakti Bhawan, Sector-6.
Panchkula (Haryana) PIN Code: 134109
Telephone: 91-172-2583724 / 2583744
Facsimile number: 91-172-2583724 / 2565746
Electronic mail address: semm1@hvpn.gov.in

- 5.2 The address of the Contractor for notice purposes, pursuant to GC 4.1 is:



M/s Instalaciones Inabensa Spain JV M/s Inabensa Bharat
305-306, 3rd floor, Eros Corporate Tower,
Nehru Place,
New Delhi

**Article
Appendices**

6. 6.1 The Appendices listed in the attached List of Appendices shall be deemed to form an integral part of this Contract Agreement.

6.2 Reference in the Contract to any Appendix shall mean the Appendices attached hereto, and the Contract shall be read and construed accordingly.

IN WITNESS WHEREOF the Employer and the Contractor have caused this Agreement to be duly executed by their duly authorized representatives the day and year first above written.



Signed by, for and on behalf of the Employer

U.S. Batra
Chief Engineer/MM
Shakti Bhawan, Sector-6.
Panchkula (Haryana) PIN Code: 134109

In the presence of Er. M.K. Shrivastava, XEN/World Bank

23/10/13

Signed by, for and on behalf of the Contractor

(Sh. Satish Rai, DGM, M/s Inabensa Bharat Pvt. Ltd.)
M/s Instalaciones Inabensa Spain JV M/s Inabensa Bharat

In the presence of

(V I S A Y K U M A R)

APPENDICES

Appendix 1	Terms and Procedures of Payment
Appendix 2	Price Adjustment
Appendix 3	Insurance Requirements
Appendix 4	Time Schedule
Appendix 5	List of Major Items of Plant and Installation Services and List of Approved Subcontractors
Appendix 6	Scope of Works and Supply by the Employer
Appendix 7	List of Documents for Approval or Review
Appendix 8	Functional Guarantees

Appendix 1. Terms and Procedures of Payment

In accordance with the provisions of GC Clause 12 (Terms of Payment), the Employer shall pay the Contractor in the following manner and at the following times, on the basis of the Price Breakdown given in the section on Price Schedules. Payments will be made in the currencies quoted by the Bidder unless otherwise agreed between the Parties. Applications for payment in respect of part deliveries may be made by the Contractor as work proceeds.

TERMS OF PAYMENT

Schedule No. 1. Plant and Equipment Supplied from Abroad

In respect of plant and equipment supplied from abroad, the following payments shall be made:

Ten percent (10%) of the total EXW amount as an advance payment against receipt of invoice, and an irrevocable advance payment security for the equivalent amount made out in favour of the Employer. The advance payment security may be reduced in proportion to the value of the plant and equipment delivered to the site, as evidenced by shipping and delivery documents.

The breakup of 10% advance payment amount is as under:

- i) 2% of the total CIP amount as an advance payment at the time of signing of contract on receipt of invoice and an irrevocable advance payment security for the 10% of total CIP amount made out in favor of the Employer.
- ii) 2% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that the site office is opened.
- iii) 6% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that civil subcontractor is appointed.

Seventy two and half percent (72.5%) of the total or pro rata CIP amount upon Incoterm "CIP," upon delivery to the carrier and on submission of following documents through irrevocable letter of credit opened in favour of supplier bank:-

- i) 6 copies of supplier invoice showing contract no. goods description, quantity, unit price and total amount.
- ii) Original and 6 copies of negotiable, clean, on-board bill of lading marked freight prepaid and 6 copies of non-negotiable bill of lading.
- iii). 6 copies of Detailed Packing list identify contents of each package.
- iv) Insurance Policy/Certificate.
- v) Manufacturer's / supplier's warranty certificate.
- vi) Factory inspection report issued by the Employer in the form of Dispatch Authorization.
- vii) Certificate of origin.
- viii) Certificate from the Project Manager/In charge on the specified format indicating that the material is required sequential to related erection and civil activities.

Seven and half percent (7.5) % of the CIP amount upon Incoterm "CIP," price of each item shall be paid within 45 days after receipt and storage of material at site and on physical verification by the employer. The payment shall be made on submission of following documents to FA & CAO/MM, HVPNL:



- i) Documentary evidence of handing over of material at the Contractor's site store, to HVPN and its re-issue to the Contractor against indemnity bond for execution of work.
- ii) Contractor's detailed invoice.
- iii) Detailed Packing list.
- iv) Insurance policy/Certificate.
- v) Dispatch authorization issued by the employer.
- vi) Sales Tax Certificate if any.
- vii) Proof of deposit of tax other than CST if any.

Five percent (5%) of the total or pro rata EXW amount upon issue of the Completion Certificate, within 45 days.

Five percent (5%) of the total or pro rata EXW amount upon issue of the Operational Acceptance Certificate, within 45 days after receipt of invoice.

Schedule No. 2. Plant and Equipment Supplied from within the Employer's Country

In respect of plant and equipment supplied from within the Employer's country, the following payments shall be made:

Ten percent (10%) of the total EXW amount as an advance payment against receipt of invoice, and an irrevocable advance payment security for the equivalent amount made out in favour of the Employer. The advance payment security may be reduced in proportion to the value of the plant and equipment delivered to the site, as evidenced by shipping and delivery documents.

The breakup of 10% advance payment amount is as under:

- i) 2% of the total CIP amount as an advance payment at the time of signing of contract on receipt of invoice and an irrevocable advance payment security for the 10% of total CIP amount made out in favor of the Employer.
- ii) 2% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that the site office is opened.
- iii) 6% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that civil subcontractor is appointed.

Seventy two and half percent (72.5%) of the total or pro rata CIP amount upon Incoterm "CIP," upon delivery to the carrier and on submission of following documents through irrevocable letter of credit opened in favour of supplier bank:-

- i) 6 copies of supplier invoice showing contract no. goods description, quantity, unit price and total amount.
- ii) Original and 6 copies of negotiable, clean, on-board bill of lading marked freight prepaid and 6 copies of non-negotiable bill of lading.
- iii) 6 copies of Detailed Packing list identify contents of each package.
- iv) Insurance Policy/Certificate.
- v) Manufacturer's / supplier's warranty certificate.
- vi) Factory inspection report issued by the Employer in the form of Dispatch Authorization.
- vii) Certificate of origin.
- viii) Certificate from the Project Manager/In charge on the specified format indicating that the material is required sequential to related erection and civil activities.

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may be reduced in proportion to the value of work performed by the Contractor as evidenced by the invoices for installation services.

The breakup of 10% advance payment amount is as under:

- i) 2% of the total CIP amount as an advance payment at the time of signing of contract on receipt of invoice and an irrevocable advance payment security for the 10% of total CIP amount made out in favor of the Employer.
- ii) 2% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that the site office is opened.
- iii) 6% of the total CIP amount as an advance payment on submission of invoice and proof by the contractor that civil subcontractor is appointed.

Eighty percent (80%) of the measured value of work performed by the Contractor, as identified in the said Program of Performance, during the preceding month, as evidenced by the Employer's authorization of the Contractor's application, will be made monthly within 45 days after submission of invoice by the contractor except for the payment of following lot items which will be regulated as under: -

80% payment of lot items shall be made as under:-

a) Payment of control room building

The payment of control room building shall be divided into four stages as under:

i.	On completion up to plinth level	20% price of control room
ii.	Up to roof i/c slab	Next 20% price of control room.
iii.	Plaster/flooring/Tile Tracing	Next 20% price of control room.
iv.	On completion	Balance 20% price of control room

b) Payment of Cable Trenches:

The payment of cable trenches shall be divided as under:-

i)	On completion of 50 % of total length of trenches without trench covers	20% of total cost of trenches
ii)	On completion of 100 % length of trenches without trench covers	Next 30% of total cost of trenches
iii)	On completion	Balance 30% of total cost of trenches

c) Road Work: -

The payment of Road Work shall be divided as under:-

i) Concrete Road

Sr. No.	Stages of payment	Proposed
1	Preparation of Sub-grade i/c Earth work	10%
2	Laying of PCC M-10	15%
3	Laying of PCC M-20	35%
4	On Completion	20%

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a) Payment of price adjustment:-

Ninety Percent (90%) of the calculated price variation will be made within 45 days after receipt of invoice.

Five percent (5%) of the calculated price variation will be made upon issue of the Completion Certificate, within 45 days after receipt of invoice.

Five percent (5%) of the calculated price variation will be made upon issue of the Operational Acceptance Certificate, within 45 days after receipt of invoice.

b) Taxes & duties:

Taxes & Duties in respect of transaction between Employer and the Contractor and octroi/entry tax as applicable for destination site/state on all items of supply including bought-out finished items (as identified in the Contract), which shall be dispatched directly from the sub-vendor's works to the Employer's site (sale-in-transit) will be paid after each shipment against documentary evidence. This payment shall be released by Employer directly to the Contractor against invoices to be submitted by the Contractor. No Sale Tax will be paid on the bought-out items, which are directly dispatched by the Subcontractor.

HVPNL would not bear any liability on account of Service Tax. HVPNL shall, however, deduct such tax at source as per the rules and will issue necessary Certificate to the Contractor.

Note: The bid price for (i) the items for which quantities have been indicated as lump sum or lot or set and/or (ii) where the quantities are to be estimated by the Bidder shall remain constant unless there is change made in the Scope of Work by Employer and/or for price variation relating to price adjustment provisions. The quantities and unit prices (i) subsequently arrived while approving the Bill of Quantities (BOQ) /Billing breakup of lump sum quantities/lot/Set and/or (ii) estimated by the bidder shall be for on account payment purpose only. In case additional quantities, over and above the quantities BOQ/billing breakup and /or estimated by the bidder, are required for successful completion of the scope of work as per Technical Specification, the Bidder shall execute additional quantities of these items for which no additional payment shall be made over and above the lump sum bid price. In case quantities of these items supplied at site are in excess of that required for successful completion of scope of work, such additional quantities shall be the property of the bidders and they shall be allowed to take back the same from the site for which no deduction from the lump sum bid price shall be made. Further, in case actual requirement of quantities for successful completion of scope of work is less than the quantities identified in the approved BOQ /billing breakup and/or estimated by the bidder, the lump sum bid price shall remain unchanged and no deduction shall be made from the lump sum price due to such reduction of quantities.

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currency attached to the index) and Bid currency such that
 $f = (Z_0/Z_1)$

Z = the number of units of currency of the index (or the currency of the country of origin of index if there is no currency attached to the index), which is equivalent to one unit of the Bid currency.

1.3 Subscript 'o' refers to indices as on 30 days prior to date of opening of Bid for materials and labour and exchange rate

Subscript '1' refers to indices and exchange rate as applicable on 60 days prior to date of shipment of material.

For the purpose of this clause, the date of shipment shall mean schedule date of shipment or actual date of shipment, whichever is earlier. The scheduled date of shipment will be FOB date of dispatch in case of supply of equipment and materials from abroad and ex-works date of dispatch in case of supplies from India, governed by the Bar Chart .

For the purpose of price adjustment, the bidder shall indicate in his proposal as to whether the Bid is based on the use of raw materials such as copper, electrical lamination steel and transformer oil at local or international price. The bidder shall indicate the indices for such raw material and transformer oil which are recognized published indices in the country of origin from where these materials are proposed to be procured or any other internationally recognized indices in case recognized indices are not available in the Country of Origin.

The total price adjustment for power transformer & auto transformer shall not be subject to any ceiling what so ever.

1.4 The above price adjustment formulae shall be invoked by either party subject to the following further conditions:

- (a) No price increase shall be allowed beyond the original delivery dates unless specifically stated in the Time Extension letter. As a rule, no price adjustment shall be allowed for periods of delay for which Contractor is entirely responsible. The Employer will, however, be entitled to any decrease in the Contract Price. Therefore, in case of delivery beyond the original delivery, the liability of the Employer shall be limited to the lower of the price adjustment amount which may work out either on schedule date or actual date of dispatch.
- (b) If the currency in which the Contract price so expressed is different from the currency of the country of origin of the labour and material indices, a correction factor will be applied to avoid incorrect adjustments of the Contract Price. The correction factor shall correspond to the ratio of exchange rates between the two currencies on the base date and the date of adjustment as defined above.

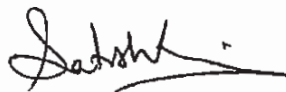
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(Price Adjustment Detail Form)

Bidder Name: JV of Instalaciones Inabensa S.A. and Inabensa Bharat Pvt. Ltd.

S. No.	Item	Price Variation Formula indicating value of coefficients/constants	Sources of Indices Used	Base Date Indices (Enclosed for May 2013)
1	(a) Power Transformer, 100 MVA, 220/66 KV (b) Power Transformer, 25/31.5 MVA, 66/11 KV			
	Copper	a = 0.23	Copper : (C) Average LME settlement price of copper wire bars (for Transformers of rating above 10 MVA or voltage above 33 KV), as published by IEEMA	10-May-13
	Electrical Lamination Steel	b = 0.24	CRGO Electrical Steel sheets : (ES) C&F price converted into Rupees (for Transformers of rating above 10 MVA or voltage above 33 KV), as published by IEEMA	10-May-13
	Construction Steel	c = 0.10	Wholesale Price Index No : (FE/IS) Wholesale price index number for 'Ferrous metals' (Base 2004-2005 = 100), as published by IEEMA	10-May-13
	Insulating Material	d = 0.06	Insulating Materials: (IM) Average of Pre compressed press boards of size 3mm and 10mm thick, 3200mm x 4100mm C&F Price converted into Indian Rupees, as published by IEEMA.	10-May-13
	Oil	e = 0.10	Transformer oil : (TO) Transformer Oil conforming to IS: 335-1993 supplied in drums (Ex-Refinery), as published by IEEMA	10-May-13
	Labour	l = 0.12	Consumer Price Index Number : (W) All India Average consumer price index Number for Industrial Workers (Base: 2001 = 100) as published by IEEMA	10-May-13

For JV of Instalaciones Inabensa S.A. and Inabensa Bharat Pvt. Ltd.


Satish Rai
(Authorized Signatory)

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